# MEMORANDUM

**To:** AMG Executive Team

**From:** Desmond Opoku Anane, ERP Transformation Program Candidate

**Date:** July 17, 2026

**Re:** ERP Replacement Program: Structure, Scope, and Data Continuity Recommendation

## Executive Summary

The engineering BOM system and the main ERP are two distinct databases connected by a nightly sync that frequently fails, which is the same primary cause of AMG's manufacturing delays and margin loss on special orders. Leadership is unable to view contribution margin while a job is ongoing since labour monitoring and job costing are located outside of both systems. In order to maintain month-end closing and KPI reporting throughout the twelve-month program, this letter suggests a phased, pilot-first ERP replacement centered around three objectives, a rigorous Day-1 scope, and a two-tier approach to historical data.

## 1. Overall Approach

### Program Objectives

- **Restore margin visibility during the job, not after it closes.** Integrate engineering BOM and ECN management, job costing and labour tracking into one system of record to track contribution margin during work in progress.
- **Eliminate the fragile nightly sync.** This single point of failure is the direct cause of the BOM-driven manufacturing delays the Board has flagged.
- **Consolidate the core, integrate the rest.** Finance, manufacturing, engineering, and procurement move onto the new ERP. CRM and HR remain on their current systems and connect through defined interfaces rather than being replaced in this phase.

### Phasing Approach

Instead of a big-bang cutover in all five locations or a slow rollout location by location that would run beyond the twelve-month target, the program is organized into four phases, built around a single pilot site.

- **Phase 1, Months 1 to 3, Foundation.** Process mapping, data governance charter, platform configuration decisions, and program governance are established before any build work begins.
- **Phase 2, Months 4 to 7, Configure and Build.** Core finance, manufacturing, procurement, and engineering BOM and ECN integration are configured. Data migration rules and interfaces to CRM and HRIS are built and unit tested.
- **Phase 3, Months 8 to 9, Pilot Go-Live.** One location goes live first, running in parallel with the legacy ERP for at least one full month-end close. This is where BOM accuracy and job costing are proven before the rest of the business depends on them.
- **Phase 4, Months 10 to 12, Wave Rollout and Stabilization.** The remaining four locations go live in two waves, informed by what the pilot surfaced, followed by legacy system decommission and hyper care support.

This structure puts the highest-risk, highest-value part of the program, engineering BOM and job costing, in front of a single site before it is multiplied across five locations and a multi-entity chart of accounts.

### Scope Control

A change control board is established from Month 1. Every requested addition to scope, whether a customization, a new interface, or a process change, is logged and evaluated against the three program objectives above. If a request does not clearly serve margin visibility, sync elimination, or core consolidation, it is deferred to a post-go-live phase rather than added mid-build. This is the mechanism that keeps an engineer-to-order implementation, which naturally invites edge cases and one-off requirements, inside a twelve-month window.

### Top Risks and Mitigations

| Risk | Why It Matters Here | Mitigation |
|---|---|---|
| BOM and engineering data quality | Years of nightly sync failures mean legacy BOM and ECN data are likely inconsistent at the revision level. | Audit and cleanse BOM data with engineering sign-off before migration, not during cutover weekend. |
| Timeline compression for engineer-to-order complexity | Twelve months is workable but tight configurator rules, and BOM logic are built out in full. | Fix Day-1 scope early, avoid non-essential customization, validate through a single pilot site before full rollout. |
| Change management across users on unfamiliar systems | Roughly 80 core users today plus engineering and shop floor staff are moving off systems they have used for years. | Involve process owners from month one, build a super-user network per site, train ahead of each go-live wave. |
| Continuity of operations and month-end close | Finance cannot afford a broken closure or a gap in job costing during cutover. | Run a full parallel close at the pilot site before go-live and freeze non-essential changes around each close. |
| Scope creep and uncontrolled customization | Without discipline, engineer-to-order requirements tend to expand scope and push the timeline out. | Change control board reviews every request against the three objectives of the program before it is approved. |

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## 2. Scope and Sequencing (Day-1 Scope)

| Included at Go-Live | Deliberately Deferred |
|---|---|

| | |
|---|---|
| • Finance: general ledger, accounts payable and receivable, multi-entity consolidation, USD and CAD multi-currency<br>• Manufacturing: work orders, routing, capacity, and job costing at the individual custom order level<br>• Engineering: native, real-time BOM and ECN management inside the ERP, replacing the nightly sync<br>• Procurement: purchase orders tied to the live BOM revision, not a batch snapshot<br>• Core reporting: contribution margin by job, by location, and consolidated | • CRM replacement: current system stays, one-way interface feeds customer and opportunity data into the ERP only<br>• Full HRIS and payroll integration: only the labor-cost feed needed for job costing is interfaced<br>• A dedicated BI or analytics platform: native ERP reporting is used until the new data model is proven<br>Formalizing every existing spreadsheet workaround: only the ones tied to margin tracking are migrated |

### Migration Exclusions and Customization Discipline

Only master data, current BOMs, and open transactions move into the live ERP at go-live. Closed historical details, such as years of completed job records or old CRM activity logs, are not migrated into the new transactional database. The reasoning and the alternative access path for that data are covered in Section 3.

On customization: the program configures the platform's native engineer-to-order and BOM tools wherever they can meet a requirement and treats custom code as a last resort. Any customization request must show which of the three program objectives it serves before it is approved. This keeps the system upgradeable and keeps the twelve-month timeline realistic.

## 3. Data and Reporting Continuity

### Historical Data Migration

Data is split into two tiers. Tier 1, migrated live into the new ERP, covers master data such as customers, vendors, items, and the chart of accounts, along with open jobs, current BOM revisions, and open purchase orders, everything needed to run the business from day one. Tier 2 is archived rather than migrated: closed jobs, historical general ledger detail, and legacy engineering history beyond a defined cutoff, recommended at two full fiscal years plus the current year. Tier 2 data remain available through a read-only reporting archive rather than being loaded into the new system of record. This avoids carrying years of inconsistent legacy data into a brand-new database while still preserving access for audits, warranty history, and trend analysis.

### Reporting During Transition

Legacy ERP reporting stays active in parallel through the pilot phase, so leadership has a dependable KPI source while the new system's data is being validated. Once the pilot proves out contribution margin and job costing accuracy at that site, the new system becomes the primary reporting source for that location, and legacy reporting is retired only at full go-live on Month 12, not before.

### Month-End Close Continuity

At least one full parallel month-end close is run at the pilot location before that site's ERP data becomes the system of record, confirming that the new chart of accounts, consolidation, and intercompany eliminations tie out to the legacy close. For each subsequent wave, non-essential system changes are frozen during the close week immediately before and after go-live, and each site's controller walks through the new close process with finance in advance, so no site runs its first close on the new system without a rehearsal.

## 4. Why This Holds Up in Practice

### Grounded in Real ERP Outcomes, Not Just Theory

The pilot first, parallel-run structure in this memo is not a theoretical preference. It is a direct response to how ERP cutovers actually fail in practice. Hershey's 1999 SAP implementation is a widely taught case precisely because the company compressed testing and skipped a genuine parallel run to hit a deadline, and the company was unable to process and ship enough product during its peak Halloween and Christmas season as a result. Revlon's 2018 ERP go-live is another widely reported example: production and shipping disruptions followed a cutover that outpaced the organization's ability to validate data and processes before relying on the new system. Both cases follow the same pattern: schedule pressure overriding validation. The phased structure in Section 1, and the requirement for two full parallel closes in Section 3, exist specifically to prevent AMG from repeating that pattern.

### A Concrete Technical Path for Data Continuity

Section 3 commits to a two-tier data model and uninterrupted reporting during transition. From a cloud architecture standpoint, that commitment is buildable with a small, well-understood set of managed services rather than a custom-built platform, which keeps cost and risk down.

| Continuity Requirement | Managed Service | Why It Fits |
|---|---|---|
| Tier 1 live migration with minimal downtime | A managed database migration service with change data capture | Replicates the legacy database continuously so the cutover moves a small delta, not a weekend-long full load, and supports the parallel-run comparison. |
| Tier 2 read-only historical archive | Object storage paired with a serverless query engine | Closed jobs and historical detail land in cheap, durable storage and stay queryable for audits and trend analysis without ever touching the live transactional database. |
| CRM and HRIS interfaces kept lightweight | A managed event bus with serverless functions | Sends only the customer, opportunity, and labor-cost fields the ERP needs, avoiding a heavy point-to-point integration or a separate middleware license. |
| Parallel month-end close verification | Serverless scripts comparing trial balances | A scheduled job reconciles legacy and new-system output automatically each close, instead of finance staff comparing spreadsheets by hand. |

None of this requires a large integration platform license. A managed migration service handling change data capture, a low-cost object store paired with a serverless query engine for the archive tier, and an event bus for the CRM and HRIS interfaces are standard, well-documented patterns for exactly this kind of transition, and they map directly onto the Tier 1 and Tier 2 model described in Section 3.

## Recommendation and Requested Action

This memo recommends the Executive Team approve three things: the phased, pilot-first rollout structure described in Section 1, the Day-1 scope and deferrals described in Section 2, and the two-tier data migration and parallel-reporting approach described in Section 3, supported by the technical path in Section 4. With that approval, the next step is finalizing the program charter and moving into Phase 1 discovery.